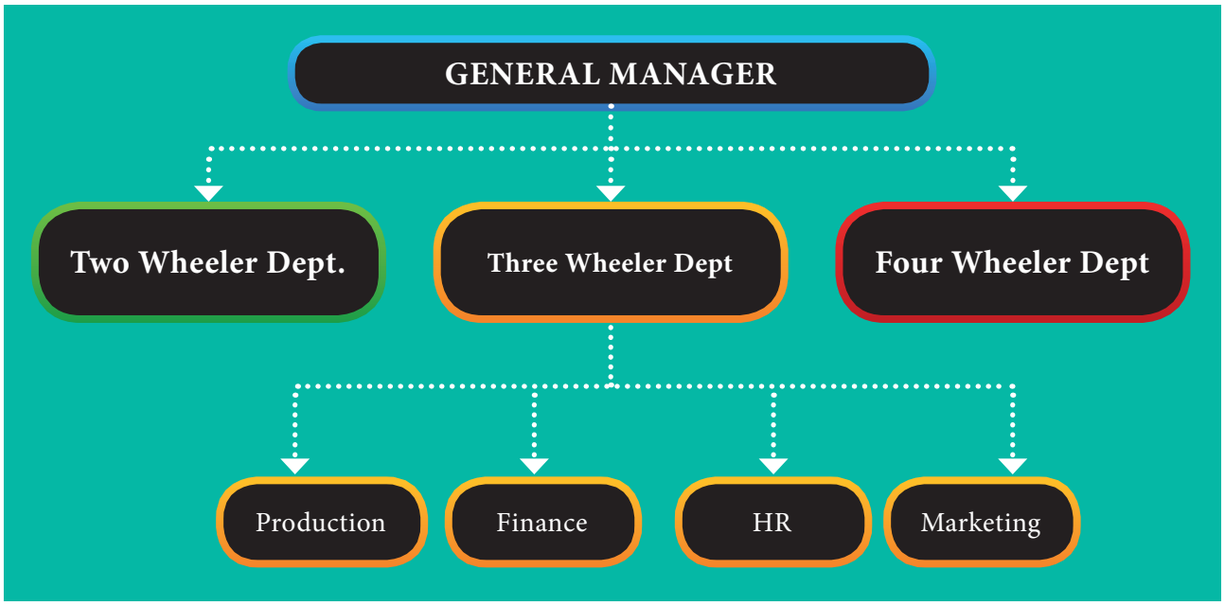


Figure 6.2 Departmentation by Products

(B) Departmentation by Products:

In product departmentation, every major product is organized as a separate department. Each department looks after the production, sales and financing of one product. Product departmentation is useful when the expansion, diversification, manufacturing and marketing characteristics of each product are primarily significant.

It is generally used when the production line is complex and diverse requiring specialized knowledge and huge capital is required for plant, equipment and other facilities such as in automobile and electronic industries.

In fact, many large companies are diversifying in different fields and they prefer product departmentation. For example, a big company with a diversified product line may have three product divisions, one each for plastics, chemicals, and metals. Each division may be sub-divided into production, sales, financing, and personnel activities.

Advantages:

Product departmentation provides several advantages which may be stated as follows:

1. Product departmentation focuses individual attention to each product line which facilitates the expansion and diversification of the products.
2. It ensures full use of specialized production facilities. Personal skill and specialized knowledge of the production managers can be fully utilized.
3. The production managers can be held accountable for the profitability of each product. Each product division is semi-autonomous and contains different functions. So, product departmentation provides an excellent training facility for the top managers.
4. The performance of each product division and its contribution to total results can be easily evaluated.
5. It is more flexible and adaptable to change.

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